Mr Alan Fraser
AL'S Motor spares Limited
5 Edison House
Fullerton Road
Glenrothes
Fife
KY7 5QR

Our Ref: 92027555
18th September 2024

Dear Mr Fraser

Policy: **Combined Liability**
Insurer: **Chubb European Group SE**
Policy No.: **P/0106/0000687MTL**

Thank you for asking us to arrange your insurance for the period 18th September 2024 to 17th September 2025.

Your Insurance Requirements

Based on our knowledge of your account, your stated requirements are as follows:

You require cover in respect of your legal liability to pay compensation including legal costs for accidental death or personal injury to any person excluding employees, and accidental loss or damage to third party material property.

You require cover to protect your business against damages and legal costs that arise as a result of claims from employees suffering bodily injury, death or disease due to, and during, their employment.

Your Insurance

Based on this information and our knowledge of the market, we are offering cover with Chubb European Group SE at the below cost.

	(£)
Premium excl. IPT:	274.55
IPT:	32.95
Admin Fee:	65.00
Insurer Fee:	17.50
Total:	**£390.00**

Please note the premiums shown are based on the information you provided, and we refer you to the section in this letter headed 'Your Duty To Make A ‘Fair Presentation’ Of The Risk'. If the information changes, is incorrect, or is different from that given at the time of the quotation, the premium and terms may change.

The basis for our recommendation of this product and how it best meets your needs is as follows:

Compared to other products in the market to which we have access, this product is competitively priced.

Our Scope of Service:

For this policy we have undertaken a ‘fair and personal analysis’ of the market. This means that we have compared products from a sufficiently large range of insurance providers in terms of cover, price, quality of service and other relevant features in order to select appropriate policies for you.

We will act as your agent when selecting a suitable insurance product, when placing the insurance and when assisting you to make a claim.

Our Remuneration

We receive a commission from the insurer, which is calculated as a percentage of the insurance premium and is taken from the premium you pay to us. In addition, we charge an administration fee for arranging this policy and in the event that you make mid-term changes and if the policy is cancelled prior to the expiry date.

In order to cover the costs of setting up and administering your policy, we charge the following administration fees:

Reason for Charge	Administration Fee Combined Liability
New Business	£100
Renewal/ Replacement	£100
Mid-term Adjustment - per occurrence	£50
Cancellation (including during the 14-day Cooling Off period)	£50

Our commission and fee(s) are earned on placement of your insurance. If you make a change or cancel your policy mid-term, which results in a return premium, we will retain all fees and any commission to cover our administration and advisory services.

Your Duty To Make A ‘Fair Presentation’ Of The Risk

We remind you, you have a legal duty to make a fair presentation to insurers of the risks you wish to insure. This includes disclosing all material facts and material circumstances of which you, your senior management or anyone responsible for arranging your insurance knows or ought to know. This means you must have conducted a reasonable search of information available to you, both within and outside of your organisation where relevant.

A material fact or circumstance is one which could influence the judgement of a prudent insurer in setting the premium, the terms of the insurance and determining whether to accept the risk. If you are in any doubt as to the materiality of any fact or circumstance, you should disclose it. This duty applies throughout the negotiation stages prior to placing your insurance, after the policy has been placed if anything changes and during the renewal process.

If you fail to comply with this duty of fair presentation, insurers may have the right to change the terms of the insurance, impose additional premiums or refuse to pay part or all of a claim. Should you deliberately or recklessly fail to comply, your insurer will be able to void the policy and treat it as if it never existed and may retain the premiums paid.

Documents Enclosed

Please find accompanying this letter the following documents for your consideration. We would ask you to read these carefully to ensure you fully understand the terms of your insurance. These documents are important as they show full details of the insurance cover you have. If you have any questions or are unsure as to whether the cover you have under this policy is adequate, please contact us immediately.

- Schedule
- Statement Of Fact
- Summary of Cover
- IPID (Insurance Product Information Document)
- Policy Wording
- Our Terms of Business which explains the basis on which we will provide our services to you

I hope you have been happy with the service we have provided so far and would like to remind you that we also offer great value insurance across a wide range of products. If you would like any advice on any aspect of insurance, please contact us at a time that’s convenient for you.

Yours sincerely

Alivia Astill
Junior Account Handler
alivia.Astill@coversure.co.uk

Our Terms of Business Agreement – Commercial Customer

Please read this document carefully. It sets out the terms and conditions on which we agree to act for you, contains details of our responsibilities together with your responsibilities both to us, to insurers and to other third-party providers. This is our standard client agreement upon which we intend to rely (''Terms of Business''). Please contact us immediately if there is anything in this document that you do not understand or with which you disagree. Your receipt of this document constitutes your informed consent to its contents. In the interests of security, staff training and to generally improve our service please be aware that telephone calls may be monitored and/or recorded.

1. Definitions:

''Affiliate'' means any member of our group, which means our subsidiaries, ultimate holding company and all of that ultimate holding company's subsidiaries as defined in section 1159 of the Companies Act 2006.

''Commercial customer'' means a customer who is acting within their trade or profession in respect of the insurance cover requested or arranged.

''You'' or ''your'' means you (and/or your appointed agent).

''We'' or ''us'' or ''our'' means Coversure Midlands Ltd T/as Coversure Insurance Services (Bromsgrove).

2. Who we are:

Coversure Insurance Services (Bromsgrove) is a trading name of Coversure Midlands Ltd which is an insurance intermediary whose registered office is at 72 Sherwood Road, Bromsgrove, B60 3DR. Our company no. is 04981212. Authorised and regulated by the Financial Conduct Authority 308065. This can be checked on the FCA register at www.fca.org.uk. Trading address: 72 Sherwood Road, Bromsgrove, B60 3DR.

3. Who regulates us:

We are authorised and regulated by the Financial Conduct Authority (FCA) and our permitted business is to advise on, arrange, deal in and assist in the administration and performance of general insurance contracts. We are also permitted to provide credit broking services in arranging premium finance. Our firm's FCA reference number is 308065. You can check these details on the FCA's Register https://register.fca.org.uk/s/ or by phoning the FCA on 0800 111 6768.

4. Our services:

As independent insurance intermediaries we generally act as the agent of our client. We are subject to the law of agency, which imposes various duties on us. However, in certain circumstances we may

act for and owe duties of care to other parties, including the insurer. We will advise you when these circumstances occur, so you will be aware of any possible conflict of interest.
We offer a wide range of products and services which may include:

- Offering you a single or range of products from which to choose a product that suits your insurance needs;
- Advising you on your insurance needs;
- Arranging suitable insurance cover with insurers to meet your requirements;
- Helping you with any subsequent changes to your insurance you have to make;

Providing all reasonable assistance with any claim you have to make.

In some cases, we act for insurers under a delegated authority agreement and can enter into insurance policies, issue policy documentation and/or handle or settle claims on their behalf. Where we act on behalf of the insurer and not you, we will notify you accordingly and in relation to claims we will advise you of this fact when you notify us of a claim. Notwithstanding this, we endeavour to always act in your best interest.

As independent intermediaries we offer a wide range of insurance products and have access to many leading insurance companies and the Lloyd's market. Depending on the type of cover you require and where we have provided advice based on a personal recommendation, we will offer you a policy from either:

- single insurer;
- a limited range of insurers; or
- a fair analysis that is representative of the insurance market.

We will advise you separately as to which of these apply before we arrange your policy and where we have not undertaken a fair analysis of the market, we will provide you with a list of insurers considered.

Policies taken out, amended or renewed through our online service will be on a non-advised basis. This means sufficient information will be provided in order for you to make an informed decision about any product purchased online and you should therefore ensure that any policy provides the cover you require and is suitable for your needs.

For all policies, before the insurance contract is concluded and after we have assessed your demands & needs, we will provide you with advice and make a personal recommendation. This will include sufficient information to enable you to make an informed decision about the policy that we have recommended, together with a quotation which will itemise any fees that are payable in addition to the premium. This documentation will also include a statement of your demands and needs. You should read this carefully as it will explain reasons for making the recommendation we have made.

5. Product Documentation

You should review the policy documents carefully to ensure they accurately reflect the cover, conditions, limits and other terms that you require. Particular attention should be paid to policy conditions and warranties as failure to comply with these could invalidate your policy. Claims can arise, under certain types of insurance contract, long after the expiry of the policy. It is therefore important that you retain and keep safely all documents associated with your policy.

6. Quotations

Unless otherwise agreed any quotation given will normally remain valid for a period of 30 days from the date it is provided to you. We reserve the right to withdraw a quotation in certain circumstances, for example, where the insurer has altered their premium or terms for the insurance since the quotation was given or if a claim / incident has occurred since the terms were offered.

7. Claims

You must notify us, your insurer or our Claimsline service (for Motor Insurance only, where you have purchased the optional additional cover) of any claim or circumstance that may or is likely to give rise to a claim under your policy in accordance with the conditions of your policy. Failure to notify insurers promptly may entitle them to deny your claim. You should not admit liability or agree to any course of action, other than emergency measures carried out to minimise the loss, or in the interest of health and safety, until you have obtained agreement from your insurer. In the event of a claim you should contact us in accordance with the conditions of your policy. When you notify us of a claim you should provide us with details of all material facts concerning the claim. Your policy documentation will describe in detail the procedures and conditions in connection with making a claim.

Where appropriate, and as set out in your policy document, we will provide you with assistance in submitting a claim and in seeking to obtain reimbursement for you. We will transmit claims payments to you as soon as possible after they have been received on your behalf. However, in the event that an insurer becomes insolvent or delays making settlement of a claim, we do not accept liability for any unpaid amounts. Where we act for the insurer in relation to a claim, we will advise you of this when you notify us of the claim.

8. Duty of Fair Presentation

You must be sure that the information you have given to us to pass onto the insurers is a ‘‘fair presentation’‘ of the risk. This means that you must have clearly disclosed every material circumstance which you, your senior management, or persons responsible for arranging your insurance knows or ought to know following a reasonable search. A material circumstance is one which may influence an insurers’ judgement over whether to take the risk, and if so on what terms. If you are in doubt as to whether a circumstance is material, then you should disclose it.

Furthermore, you must inform us if any of the information provided to us has changed. If it has, then you must tell us about the changes before we arrange cover. Your duty to notify material changes in the risk applies when you purchase an insurance policy, throughout the life of the policy and when you renew that policy.

Please note that failure to disclose a material circumstance may entitle an Insurer to impose different terms on your cover or reduce the amount of a claim payable. In some cases, your cover could be invalidated, which would mean that a claim would not be paid.

9. Premium

Once your contract of insurance has been concluded, we will send you an invoice (also referred to as a debit note). You must pay the premium due in accordance with the amounts and payment dates specified in the invoice. Failure to meet the payment date may lead insurers to cancel your policy. No payment shall be deemed to have been received until we have received cleared funds. Where insurers

have specified that the premium must be received by a certain date, failure to comply can result in automatic termination of your insurance contract.

10. Remuneration and fees

In most cases we are paid by commission from the insurer but in some circumstances, we may charge you a fee instead of commission or a combination of both. Where we charge a fee, this will not be liable for insurance premium tax or value added tax (insurance is a VAT exempt industry). There may be occasions when an additional fee is sought, for example upon acquisition of another company, any changes to the risk that require significant further advice and placement of additional coverage, the provision of additional risk management services or substantial involvement in any large, difficult or complex claims.
We will also make individual client administration charges per policy:

Reason for Charge	Administration Fee Combined Liability
New Business	£100
Renewal/ Replacement	£100
Mid-term Adjustment - per occurrence	£50
Cancellation (including during the 14-day Cooling Off period)	£50

Our commission and fee(s) are earned on placement of your insurance. If you make a change or cancel your policy mid-term which results in a return premium, we will retain all fees and any commission to cover our administration and advisory services. We will advise you of the amount of any charge before you become liable to paying it.

In addition to your fee and/or commission some insurers may make additional payments to us reflecting the size and/or profitability of our account with them and/or in respect of work we undertake on their behalf.

You are entitled, at any time, to request information regarding any commission which we may have received as a result of placing your insurance business

11. Premium Finance

In arranging premium finance, we act as a credit broker to provide you with a premium finance facility which is designed solely for the purposes of facilitating a loan for repayment of insurance premiums. We will only provide you with information about this payment option on a non-advised basis from which you will need to make your own decision as to the suitability of this facility and whether you wish to proceed. Where we arrange premium finance on your behalf, we are remunerated for our assistance in putting this financing in place. We can provide details of our remuneration on request.

When arranging premium finance your premium finance provider may undertake an enquiry with credit reference agencies who will add details of the search and the application to their record about you, whether or not the application proceeds. Further details will be provided when an application for finance is made. Insurers own credit facilities may also be available if appropriate.

Where you pay your premium by instalments and use a premium finance provider, if any direct debit or other payment due in respect of the credit agreement you enter into to pay insurance premiums is not met when presented for payment or if you end the credit agreement we will be informed of such events by your premium finance provider. If you do not make other arrangements with us or your premium finance provider to pay the insurance premiums you acknowledge and agree that we may, at any time after being so informed, instruct on your behalf the relevant insurer to cancel the insurance (or, if this occurs shortly after the start or renewal of the insurance, to notify the insurer that the policy has not been taken up) and to collect any refund of premiums which may be made by the insurer. If any money is owed to the premium finance provider under your credit agreement or if they have debited us with the amount outstanding, we will use any refund received to offset our costs. You will be responsible for paying any remaining time on risk charge and putting in place any alternative insurance and / or payment agreements you need. You also agree that we may hold to the order of the premium finance provider any claims monies due to you in the event that you are in default of your credit agreement.

12. Client Money

We are not authorised to handle client money; any payments received from you or which need to be refunded to you, will be held by Coversure Insurance Services Limited. Client money is money that is received and held on behalf of our clients during the course of our dealings such as premium payments, premium refunds and claim payments. This money will be held either as agent of the insurer or agent of the client, determined by the agreement in place with each insurer. Where money is held as agent of the insurer, this means that when your cleared premium funds are recieved, the premium is deemed to have been paid to the insurer.

The FCA require that all client monies, including yours, are held in a trust account, the purpose of which is to protect you in the event of our financial failure since, in such circumstances, our general creditors would not be able to make claims on client money as it will not form part of our assets. Coversure Insurance Services Limited hold all client monies with one or more approved banks, as defined by the FCA, in a Non-Statutory Trust bank account in accordance with the FCA client money rules. Under these arrangements, Coversure Insurance Services Limited assume responsibility for such monies and are permitted to, and may:

- Use such monies received on behalf of one customer to pay another customer's premium, before the premium is received from that other customer. However, we are not entitled to pay ourselves commissions before we receive the relevant premium from the customer;
- For the purpose of effecting a transaction on your behalf, pass your money to another intermediary, including those resident outside the UK who would therefore be subject to different legal and regulatory regimes. In the event of a failure of the intermediary, this money may be treated in a different manner from that which would apply if the money were held by an intermediary in the UK. Please inform us if you do not agree to this.
- Retain for our own use, any interest earned on client money.

Unless we receive your written instruction to the contrary, we shall treat receipt of payment from you and of any claim payment and/or refund of premium which falls due to you, as being with your informed consent to the payment of those moneys into our Non-Statutory Trust bank account.

13. Insurer security

Whilst we make every endeavour to place your insurances with insurers that are financially sound, we do not guarantee or otherwise warrant the solvency of any insurer we place your insurances with. If you have any concerns regarding any insurer chosen to meet your insurance requirements you should inform us as soon as possible and we will discuss them with you. A liability for the premium, whether in full or pro rata, may arise under policies where a participating insurer becomes insolvent.

14. Renewals

You will be provided with renewal terms in good time before expiry of the policy, or notified that renewal is not being invited. Unless you advise otherwise renewals are invited on the basis that there have been no changes in the risk or cover required, other than those specifically notified to us or your insurers (see section on ‘‘Duty of Fair Presentation’‘).

It is very important that you check the information provided at renewal to confirm it remains accurate and complete. If any of the information is incorrect or if your circumstances have changed you should contact us immediately so we can update your details. Failure to notify us or your insurer of any incorrect information or change in circumstances may lead to your policy being cancelled or your claim rejected or not fully paid.

15. Mid-term transferred business

When we are appointed to service insurance policies other than at their inception or renewal and which were originally arranged via another party, we shall not be liable during the current insurance period for any loss arising from any errors or omissions or gaps in your insurance cover or advice not supplied by us. Should you have any concerns in respect of a policy, which has been transferred to us, or if you require an immediate review of your insurance arrangements, you must notify us immediately. Otherwise we shall review your insurance arrangements and advise accordingly as each policy falls due for renewal.

16. Cancellation clause

Your insurance contract may include a cancellation clause giving you the right to cancel your policy. If you decide to cancel your policy in accordance with any timeframes stipulated in your policy, and subject to not having made or intimated a claim, you may be entitled to a refund of premium paid. Please note our commission and, where appropriate fees, are fully earned from the date the policy commences and will not be refundable. If you fail to pay your premium to us by the due date, we reserve the right to instruct insurers to cancel your policy.

17. Termination of these Terms of Business

You or we may terminate our authority to act on your behalf by providing at least 14 days’ notice in writing (or such other period we agree). Termination is without prejudice to any transactions already initiated by you, which will be completed according to these Terms of Business unless we agree otherwise in writing. You will remain liable to pay for any transactions or adjustments effective prior to termination and we shall be entitled to retain any and all commission and/or fees payable in relation to insurance cover placed by us prior to the date of written termination of our authority to act on your behalf.

18. Complaints

In the event that you are unhappy with the service we have provided to you and you wish to make a complaint, you should contact the Complaints Manager in writing or by telephone: 72 Sherwood Road, Bromsgrove, Worcestershire, B60 3DR, United Kingdom; Tel No. 0800 3081093; or email bromsgrove@coversure.co.uk. Should you remain dissatisfied with our handling of your complaint, or its outcome, you may be eligible to take your complaint direct to the Financial Ombudsman Service who can be contacted on 0800 023 4567 (website: www.financial-ombudsman.org.uk).

Should you experience problems in progressing a compliant you may also, if appropriate, contact our Franchisor, Coversure Insurance Services Limited. Contact details can be found on www.coversure.co.uk. Under FCA regulations they will not be able to deal directly with your complaint but will endeavour to facilitate a satisfactory outcome.

19. Compensation

We are covered by the Financial Services Compensation Scheme (''FSCS''), which deals with claims against FCA regulated firms that are insolvent or are no longer trading. You may be entitled, therefore, to compensation from the FSCS if we are unable to pay a valid claim made against us. This depends on the type of service we have provided you with, the type of insurance we have placed on your behalf and the circumstances of the claim. Full details and further information on the scheme are available from the FSCS (website: www.fscs.org.uk).

20. Confidentiality

Information provided by you may be held, processed, disclosed and used by ourselves, our professional advisers and any associated companies in servicing our relationship with you. Unless you notify us otherwise, you agree to the storage, use and disclosure of such information. All the activities that we undertake on your behalf, as described in this agreement, are provided for your exclusive use. All recommendations, proposals, reports and other information supplied to you in connection with these services are for your sole use and you agree not to make this information available to any third party without our express written permission. We reserve the right to take action to protect proprietary information.

21. General Data Protection Regulations

We will process your data responsibly, fairly and in strict accordance with the General Data Protection Regulations (GDPR) effective 25th May 2018. These regulations replace the Data Protection Act 1998 (''DPA'') and require wider disclosure of compliance than the previous DPA, including (but not limited to):

- Our lawful bases of processing;
- The information we collect, and how we use and share that information;
- How long we keep information, including the purposes (e.g. administer your policy);
- The technical and organisational measures we have in place to safeguard your information;
- Your rights as an individual data subject; and
- Our approach to marketing

For our mutual protection and for training, compliance, and security purposes, all telephone calls may be recorded.

As with many organisations, and to ensure Customers can easily access details on the areas listed above, we have developed a separate **Privacy Notice**. This can be found on our website, alternatively you can obtain a copy by writing to us.

It is vitally important to take time to read this document carefully as it contains full details of the basis on which we will process your personal data, such as collecting, using, sharing, transferring and storing your information. It is also your obligation to ensure you show this notice to all parties related to any insurance arrangement. If you have given us information about someone else, you are deemed to have their permission to do so.

If you have any questions, including requiring a copy of the privacy notice, or any further information about our approach to the GDPR you can e-mail bromsgrove@coversure.co.uk or write to our Data Protection Champion, 72 Sherwood Road, Bromsgrove, Worcestershire, B60 3DR, United Kingdom.

22. Bribery and corruption

We have no tolerance for bribery and corruption and this policy extends throughout the company for all of its dealings and transactions in all countries in which we operate. Our anti bribery policy is updated in line with the changes in law, changes in our business and our reputational demands. All employees are required to comply with this policy.

Both parties agree to comply fully with the requirements of the Bribery Act 2010, and will not engage in any of the following activity:

- promising or giving of an advantage, financial or otherwise, to another person to bring about an improper performance or to reward such improper performance
- requesting, agreeing to receive or accepting of an advantage, financial or otherwise to act improperly
- bribe a foreign public official to do or reward them for doing, something improper

Additionally, where applicable, a firm will prevent bribery being committed on its behalf by its employees and third parties.

23. Money laundering

In order to comply with our obligations under the money laundering legislation and regulations in relation to the Proceeds of Crime Act, you agree to provide us with any such evidence and information about your identity and that of any associates as we may reasonably require.

24. Sanctions

Both parties shall pay due regard to, and co-operate in respect of the observance of, any applicable international economic, financial or trade sanctions legislation.

25. Third party rights

Unless otherwise agreed between us in writing, no term of this agreement is enforceable under the Contracts (Rights of Third Parties) Act 1999.

26. Liability for directors, officers or employees

You acknowledge and agree not to make any claim personally against any employee, director or officer arising out of the work and services provided under these Terms of Business. This clause does not in any way limit or affect our liability to you as set out below.

27. Limit of liability

In the event of any breach of these terms and/or in the event of any representation, statement or act or omission including negligence arising under or in connection with all contracts between us then the following provisions set out our entire financial liability (including any liability for the acts or omissions of our employees, agents and sub-contractors) to you. Our total liability in relation to that claim shall be limited to £1,000,000 (one million pounds). Should you feel this is not sufficient for you or your business we will be happy to discuss a higher limit of indemnity; if agreed, this will be set down in writing and form part of these Terms of Business. Nothing in these terms excludes or limits our liability for death or personal injury caused by the Company's negligence, or for the Company's fraud, fraudulent misrepresentation or beach of any regulatory obligation.

We shall not be liable to you for any indirect or consequential loss or damage; these may be losses that are not reasonably foreseeable (whether for loss of profit, loss of business, depletion of goodwill or otherwise), costs, expenses or other claims for consequential compensation whatsoever (howsoever caused) which arise out of or in connection with the services we provide to you.

28. Law and jurisdiction

These terms of business shall be governed by and construed in accordance with English law. In relation to any legal action or proceedings arising out of or in connection with these terms of business we both irrevocably submit to the non-exclusive jurisdiction of the English courts.

29. Variation

No variation of this agreement shall be valid or effective unless it is in writing. We may amend these Terms of Business by sending you either a notice of amendment in writing or a revised Terms of Business.

30. Assignment

We are entitled to assign these Terms of Business to any other affiliate for so long as such company remains an affiliate. Without affecting our fiduciary duty to you we are entitled to transfer client monies to an identical bank account held in the name of any affiliate for so long as such company remains an affiliate.

31. Entire agreement

This Terms of Business constitutes the entire agreement and supersedes all previous agreements, understandings and arrangements whether in writing or oral in respect of its subject matter.